

***Financial Assessments
for
Income Protection Insurance –
No need to be Afraid***

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1. Police
2. Air Force – Fraud/Counter Intelligence
3. AMP Life Ltd – Investigator/Visitation Office/Forensic Accountant
4. Forensic accountant/Expert Witness
5. Thousands of IP, a hundred odd TPD & the occasional death claim
6. Many cases of sneaky practices
7. Trained several hundred assessors & underwriters

Session Overview

1. Why are Financial Assessments Critical
2. Elements of a Financial Assessment
3. Issues to consider
4. Case Studies
5. Where can you get assistance

Why Financial Assessment is Critical

1. Fairness to your customer (as most of them are honest and submit legitimate claims)
2. Pay the right benefit EVERY time
3. Understand the clients business
4. Detect fraudulent claims (5-10% pre-claim but possibly as much as 25% post-claim)
5. Prevent need for FOS intervention

Financial Assessment Considerations- Pre-Claim:

- 1. Assess Financial motivation (policy & claim)**
- 2. Request minimum amount of information**
- 3. Analyse Financial trends in information**
- 4. Publically available due diligence**
- 5. Ask relevant questions**
- 6. Calculate pre-claim income**
- 7. Determine what is happening to the business**

Pre-Claim case Study - Carpenter

1. IP Policy - £2,400 per mth
2. Pre-claim – 12 months prior
3. Injury 9 months into FY
4. Insurer used accounts & ITR for prior FY
5. Claimant - prior FY does not reflect current FY
6. Claimant - Insurer was being unfair
7. Insurer instructed FA&I Ltd
8. I attended to the clients premises and reviewed data
9. Verified current FY income and work and prior year data
10. 12 month pre-claim income figure calculated
11. Claimant entitled to 100% benefit

Financial Assessment Considerations: Post-Claim

- 1. Determine effect of incapacity on income**
- 2. Request min info – regularly & annually**
- 3. Assess financial trends**
- 4. Quantify loss of income**
- 5. Publically available due diligence**
- 6. Ask relevant questions**
- 7. Calculate post-claim income**
- 8. Determine what is happening to the business**

Post-Claim Case Study – Farm Supplies

1. IP Policy - £3,100 per mth. Income verified pre-claim.
2. A lot of discussion about role and responsibilities of claimant
3. Business continued for 2 years post-claim then closed
4. Stated he established a new business with former employee
5. New business in place for 3 years but only small profit declared
6. Insurer decided a closer look necessary & instructed FA&I Ltd
7. I attended to the clients premises and reviewed data for 3 yrs
8. Claimant stated business partner/employee had immigrated
9. I selected additional files from office – under protest!
10. Contents of files was very interesting – photos & another business
11. Role of claimant in new business was not truthful - facts
12. I located former employee 2 villages over
13. Role of claimant in original business at claim stage not truthful
14. Insurer closed claim and issued proceedings to recover their benefits

Issues to consider & when help might be necessary

1. Year to date income (ie 6-10 months into FY)
2. Current FY completed but no accounts or ITR
3. Accounts Data is easily adjusted
4. Large salary claimed in ITR – but was it paid
5. Have dividends actually been paid
6. More than 1 set of accounts possible
7. Multiple entity structures & money shifting btw
8. Who is earning the income Pre & Post
9. Trend analysis of data does not make sense
10. New business established post-claim
11. Business structure changed post-claim

Summary – Important Lessons

- Majority of claims genuine
- IP makes some honest - dishonest
- Remember purpose of FA?
- Minimum financial info
- Analyse – not just accept
- Question the usual & unusual
- The books & records are there
- Just like medical seek advice if unsure

Questions ??

RED FLAGS/INDICATORS IN FINANCIAL STATEMENTS

RED FLAGS are not just about fraud.....

- ◆ Many many legal practices
- ◆ Many illegal practices
- ◆ Policy wordings – help or hindrance

Red Flags:

Pre-claim - Overstatement

LEGAL Practices

- ◆ use of business structures
- ◆ change shareholdings in company
- ◆ change p/ship split
- ◆ change business structure in year pre-claim
- ◆ pay large back-dated dividend
- ◆ pay dividend from current year
- ◆ pay large salary when company loss making
- ◆ manipulation of crappy definitions

Pre-claim - Overstatement

possible Inappropriate Practices

- ◆ not disclosing full picture (most common)
- ◆ manipulating financial data
- ◆ providing misleading data
- ◆ providing false data

What are the indicators?

Pre-claim - Overstatement

To detect full picture - consider

- ◆ change in trends in accounts
- ◆ hide the expense
- ◆ round sums in sales/fees
- ◆ admin fees
- ◆ management fees
- ◆ rent
- ◆ consultants fees
- ◆ subcontractors

Pre-claim - Overstatement

Indicators of manipulation/misleading

- ◆ Not an easy task....experience.....
- ◆ change in trends in accounts
- ◆ early involvement of accountant
- ◆ very touchy about financial data

Pre-claim - Overstatement

- ◆ ask for a minimum amount of info.....
- ◆ the toughest bit - ask questions!
- ◆ don't accept waffle!
- ◆ don't just believe accountants
- ◆ director searches
- ◆ verify data with IR – is this comforting?
- ◆ books & records are available

RED FLAGS/INDICATORS IN FINANCIAL STATEMENTS

Post-claim

Red Flags:

Post-claim - Understatement

LEGAL Practices

- ◆ shift funds between businesses
- ◆ change shareholdings in company
- ◆ change p/ship split
- ◆ change business structure
- ◆ establish a new entity
- ◆ leave profit in Ltd company & don't distribute
- ◆ hire a family member
- ◆ hire a Locum

Red Flags:

Post-claim - Understatement

LEGAL Practices

- ◆ make payments to a relative
- ◆ WIP manipulation (the new practice but changes coming with new UIG)
- ◆ buy new assets for business – extra CA
- ◆ buy a new business – loss making

Post-claim - Understatement

- ◆ the toughest bit - ask questions!
- ◆ don't accept waffle!
- ◆ don't just believe accountants
- ◆ director searches
- ◆ research!
- ◆ verify Locum hired and PAID – How??
- ◆ verify new hirees
- ◆ verify genuine nature of payments to relative
- ◆ verify data with IR – is this comforting?
- ◆ books & records are available

possible Inappropriate Practices

- ◆ Personal Expenses (most common)
- ◆ Expensing fixed assets (very common)
- ◆ Expensing stock (common)
- ◆ LOCUM abuse (happens...)
- ◆ Providing false data (small % but)
- ◆ Will the accountant now about these?

Post-claim - Understatement

What you can do?

- ◆ request the right financial info
- ◆ analyse it - just don't accept it
- ◆ research
- ◆ PI – very useful
- ◆ verify Locum hired and PAID – How??
- ◆ verify new hirees
- ◆ verify data with IR – is this comforting?

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